

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

JOHN BARTOLINI, *Claimant*

v.

MIRAGROWN LOGISTICS CORPORATION DBA LUCKY
CONSOL, INC., *Respondent*.

DOCKET NO. 2042(I)

Served: May 7, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant John Bartolini (“Claimant”) submitted a Claim, along with exhibits and a timeline, that the Office of the Secretary (“OS”) received on December 5, 2025. On December 10, 2025, OS served the Claim and accompanying materials on Miragrown Logistics Corp., DBA Lucky Consol, Inc. (“Respondent”).

Claimant alleges that Respondent, a non-vessel operating common carrier (“NVOCC”), failed to tell Claimant about the arrival of his cargo and gave him misinformation about making payment, resulting in demurrage fees and Claimant not receiving his cargo. Claimant alleges violations of 46 U.S.C. §§ 41104(a)(14) and (15), as well as section 41104(d), and seeks reparations. (*See generally* Claim). Claimant later raised a claim under 46 U.S.C. § 41102(c).

On January 5, 2026, Respondent submitted an Answer. In short, Respondent alleges, among other things, that it was not acting as a regulated entity for purposes of the shipment at issue, and Claimant’s own actions caused the negative consequences. (*See generally* Answer).

Upon reviewing the facts of this case, as well as the relevant law, I find that Claimant has not carried his burden of demonstrating that Respondent was acting as a regulated entity. Accordingly, Claimant’s Claim is **DENIED** and **DISMISSED**.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

II. BACKGROUND

Claimant submitted a Claim, along with exhibits and a timeline, that OS received on December 5, 2025. On December 10, 2025, OS served the Claim and accompanying materials on Respondent.

In general, Claim alleges that Claimant had gardening pots imported from China to the United States. (Claim, at 1). Claimant contracted with Respondent to act as an OTI and NVOCC. (Claim, at 1-2). After the shipment arrived, Respondent allegedly: failed to tell Claimant about the arrival; told Claimant not to make any payments until it gave him a final invoice; did not give him a final invoice until the last free day (“LFD”), which was November 14, 2025, and; told Claimant that any payment he made would require 48 hours to clear. (Claim, at 1-2). Claimant never received his pots. Claimant asserts that: 1) Respondent is requiring him to “pay retroactive surprise late fees,” 2) Respondent “has a duty to disclose all material terms affecting the cost of services,” 3) Respondent failed to provide Claimant with a contract, and 4) Respondent failed to disclose warehouse fees, late fees or other storage fees on its website. (*Id.*, at 2-3). Based on this, Claimant alleges Respondent violated 46 U.S.C. §§ 41104(a)(14) and (15), as well as section 41104(d). (*Id.*, at 3-4). Claimant asserts that he wants his property “released without late fees” and that he is “willing to pay all other legitimate charges of customs, taxes, etc.” (*Id.*, at 4). Attached to the Claim are various invoices and receipts, a copy of the House Bill of Lading (“HBL”), and emails. (*See generally* Claim). The attachments are all identified and discussed below in the Findings of Fact (“FOF”).

Respondent filed an Answer on January 5, 2026, and raised several defenses. Respondent argues that the Claimant was not the importer and, therefore, lacks standing. (Answer, at 1). Although Respondent admits that it is a licensed NVOCC, it argues that it did not act as one in this matter. (Answer, at 1-2). Respondent asserts that many of the fees Claimant complains of were caused by his lack of diligence and lack of understanding of international shipping. (Answer, at 2-3). Finally, Claimant never contracted with Respondent. (Answer, at 3-4). The Answer attaches three “exhibits,” including the HBL, a copy of a timeline,² and numerous emails. (*See generally* Answer). The attachments are all identified and discussed below in the FOF.

On January 10, 2025, Claimant filed Complainant’s Verified Reply to Respondent’s Answer (“Reply”).³ In sum, Claimant argues that he has standing, as he is the owner of the entity listed on the HBL as the consignee. (Reply, at 1). Claimant asserts that Respondent was responsible for the delays, including in obtaining a power of attorney (“POA”) form, as well as

² When Respondent emailed its Answer to the Commission, it included two versions of a timeline, one labeled as Exhibit 2, and the other as Exhibit 2A. In the cover email, Respondent’s counsel explained that Exhibit 2A is “updated” and is to be included in the Answer. Accordingly, I will disregard the timeline labeled as Exhibit 2, and I cite to Exhibit 2A herein.

³ On January 6, 2026, Claimant attempted to file a reply. The OS responded by email to Claimant on January 9, 2026, instructing Claimant to send a copy of all documents to judges@fmc.gov. On January 10, 2026, Claimant sent the Reply discussed in the main text, and indicated that this should be treated as his Reply. Therefore, I will disregard the January 6, 2026, version of the reply.

Respondent's instruction of November 12 that Claimant should not make any payment until the final invoice was issued. (Reply, at 1-3). When the final invoice was issued on November 14, which was the last free day, Respondent's email stated that payment should be made 48 hours before free time expires, thus Respondent made it impossible for Claimant to avoid any late fees. (Reply, at 2). In addition, Claimant contests liability for any warehouse storage fees. (Reply, at 3). Claimant adds a claim under 46 U.S.C. § 41102(c) against Respondent, asks for reparations of \$11,067, which includes the value of the lost cargo, lost profits, double damages and other expenses, as well declaratory relief and indemnification. (Reply, at 3).⁴ Finally, the Reply adds an exhibit, which is described in paragraph 55 of the Findings of Fact (the "FOF").

On January 22, 2026, Claimant filed Complainant's Notice of Constructive Total Loss ("Notice"). In it, Claimant asserts that his cargo, which was in a warehouse operated by STG Logistics, Inc. ("STG"), is irretrievable because STG filed a Chapter 11 bankruptcy petition. (*See generally* Notice). Claimant increased his request for reparations to \$21,883.98 as a result. (Notice, at 2-3). Claimant attached several bankruptcy court filings to his Notice. (*Id.*).

Respondent filed Respondent's Reply to Complainant's Reply to Respondent's Answer to Plaintiff's Complaint ("Respondent's Sur-Reply") on January 28, 2026. Respondent reiterated its assertion that the delays were ultimately caused by Claimant's lack of diligence, and requested an award of fees. (*See generally* Respondent's Sur-Reply).

On January 30, 2026, Claimant filed Complainant's Sur-Reply, Motion for Sanctions, and Opposition to Respondent's January 28 Filing ("Claimant's Sur-Reply"). In it, Claimant again reiterates his arguments for why Respondent violated sections 41102(c), 41104(a)(14) and (15), 41104(d), including his argument that Respondent improperly attempted to make Claimant responsible for the warehouse storage fees. (*See generally* Claimant's Sur-Reply). In addition, Claimant also asserts that the Respondent's counsel made a false statement to the Commission, and should be sanctioned. (Claimant's Sur-Reply, at 2). Finally, Claimant adjusts the amount of reparations sought to \$12,687. (Claimant's Sur-Reply, at 4).

On February 24, 2026, Respondent filed Respondent's Response to Complainant's Sur-Reply Motion for Sanction and Opposition to Respondent's January 28 Filing ("Response to Claimant's Sur-Reply"). In it, Respondent states that the dispute has: "been alleged and realleged, answered and reanswered," and generally reiterates all of its denials of Claimant's assertions. (*See generally* Response to Claimant's Sur-Reply).

On April 6, 2026, I was appointed to serve as the Small Claims Officer for this proceeding.

Also on April 6, 2026, I issued an Order Requesting Additional Information (the "RFI"). The RFI required the parties to provide additional information necessary to issue a decision in

⁴ The Reply has a section entitled "Rebuttal to Counterclaim for Fees (Jurisdiction)," asserting that Respondent "argues that the disputed charges are 'Storage Fees' owed to a third party (STG) and thus outside FMC jurisdiction." (Reply, at 3). Although Respondent asks for "damages incurred by Respondent as allowed by law including attorney's fees" (Answer, at 4), I did not see a "counterclaim" in the Answer.

this matter. I required the parties to respond to the RFI no later than April 20, 2026, and the parties to reply to the other party's responses no later than May 4, 2026.

On April 20, 2026, Claimant and Respondent both responded to the RFI (respectively, "Claimant's RFI Responses" and "Respondent's RFI Responses").

On May 4, 2026, the Respondent replied to Claimant's RFI Responses ("Respondent's RFI Replies"). Claimant did not respond to Respondent's RFI Responses.

I reviewed the record, including the Claim, Answer, Reply, Notice, Respondent's Sur-Reply, Claimant's Sur-Reply, Response to Claimant's Sur-Reply,⁵ information submitted in Claimant's RFI Responses, Respondent's RFI Responses, and Respondent's RFI Replies.

III. FINDINGS OF FACT

1. Claimant alleges that he is an individual farmer. (Claim, ¶ I).
2. I take official notice of the fact that Respondent, Miragrown Logistics Corporation DBA Lucky Consol, Inc., is registered with the Commission as an NVOCC. (<https://www2.fmc.gov/oti/>).⁶ (46 C.F.R. § 502.226).
3. The record contains an invoice dated July 11, 2025, on Haining Huajin Plastics Co., Ltd. letterhead, addressed to Claimant in the amount of \$2,786.58 for three packages of new buckets with a FOB term, and a quantity of 3,882. (Claim, at 9).
4. There is an invoice created July 16, 2026, on Alibaba.com ("Alibaba") letterhead, addressed to Bartomods in the amount of \$3,389.29. (Claim, at 10).
5. The record contains a credit card receipt showing payment in the amount of \$616.40 to Alibaba. (Claim, at 14).
6. The record contains an invoice dated September 2, 2025, on Haining Huajin Plastics Co., Ltd. letterhead addressed to Claimant in the amount of \$3,036.58 for plastic planters, with a FOB term, and a quantity of 3,882. (Respondent's RFI Responses, at 8).

⁵ The Commission's Rules generally do not permit documents other than the claim, answer, and responses to requests for information. Typically, documents like the Reply, Notice, Respondent's Sur-Reply, Claimant's Sur-Reply, and Response to Claimant's Sur-Reply would have been stricken and not considered. In this case, however, these documents were all filed before I was assigned as the Small Claims Officer on this file. I read all of these filings so that I could understand what occurred in this case before it was assigned to me.

⁶ Most exhibits filed in this case were attached either to the Claim or the Answer. A few exhibits were attached to other filings, such as the Reply or Respondent's RFI Responses. In general, when referring to an exhibit, I reference the name of the document to which the exhibit is attached, as well as the PDF page number where the exhibit may be found. The one exception is that Respondent's timeline, Exhibit 2A, was filed with the Answer, but is a separate document.

7. The record contains an email dated October 1, 2025, from Respondent's employee to Claimant that introduces Respondent as the "destination handling agent," and asked for an ISF.⁷ The email also asked if Claimant would like Respondent to complete the ISF, and provided a schedule of fees. (Answer, at 13-17).
8. Respondent's employee sent an email to Claimant regarding the ISF on October 2, 2025, and again offered to help Claimant with the ISF. (Answer, at 18-22).
9. Respondent's employee sent an email to Claimant regarding the ISF on October 6, 2025, and indicated that the ISF was already late. Respondent's employee again asked if Claimant needed help with the ISF. (Respondent's RFI Responses, at 47-50; Answer, at 24-26).
10. Respondent's employee sent an email to Claimant regarding the ISF on October 7, 2025, and indicated that the ISF was already late. Respondent's employee asked for payment in the amount of \$275 "so we can proceed with sending the POA you need to fill them out." (Answer, at 23-26).
11. The record contains a "master" Bill of Lading ("MBL") No. 010500926237 on Evergreen Line letterhead, showing that the shipper is Shenzhen Lucky Logistics Ltd. ("SLL"), and Respondent is identified as the consignee and notify party. (Respondent's RFI Responses, at 6). The MBL shows that container, EGSU1560109, contained 1,388 packages, including a package identified as "rubber bucket." (HS Code 4017002000). The MBL indicates that the container was laden on board on October 8, 2025. The Port of Loading was Yantian, China, and the Port of Discharge was New York. (Respondent's RFI Responses, at 6-7).
12. The record contains a "house" Bill of Lading ("HBL") No. LLLNYK25922452 on SLL letterhead, showing that the shipper is Changsha Meierja Supply Chain Co., Ltd., the consignee and notify party is Bartomods, and that the container was laden on board the vessel on October 8, 2025. (Answer, at 8-9; *see also* Claim, at 12; Respondent's RFI Responses, at 15). The HBL states: "For delivery please apply to Lucky Consol, Inc." (*Id.*). The HBL indicates that the container, EGSU1560109, contained four packages of rubber buckets. (*Id.*). The HBL was issued October 8, 2025. (*Id.*).
13. The record has a cargo manifest on SLL letterhead, addressed to Respondent, that shows, among other things, that container EGSU1560109 had four packages of rubber buckets (HS Code 401002000), which indicated that Bartomods was the consignee and notify party. (Respondent's RFI Responses, at 9-14)
14. Respondent submitted a sworn-to timeline showing that it sent email reminders to Claimant regarding the ISF on October 10 and 14, 2025, though there is no corresponding email in the record. (Answer, Ex. 2A).
15. Respondent's employee emailed Claimant on October 15, 2025, reminding Claimant about the ISF, and asking: "Please confirm you need our assistance and help send proof of payment

⁷ I understand the ISF reference to be an Importer Security Filing, which is a filing required for cargo arriving by vessel. (19 C.F.R. § 149.2).

for \$275 so we can proceed with sending the POA you need to fill it out.” (Respondent’s RFI Responses, at 46-50; Answer, at 30-34).

16. Respondent’s employee emailed Claimant on October 17, 2025, reminding Claimant about the ISF, and stating: “We will need the proof of payment to send the POA[.]” and “Please also not [*sic*] this is already considered late and the ISF needs to be filed ASAP.” (Respondent’s RFI Responses, at 45-50; Answer, at 29-34).
17. Respondent’s employee emailed Claimant on October 20, 2025, reminding Claimant about the ISF, and stating: “Friendly reminder, please send the proof of payment. We need to file the ISF ASAP.” (Respondent’s RFI Responses, at 44-50; Answer, at 28-34).
18. The record includes an email from Respondent’s employee to Claimant dated October 23, 2025, which attaches an arrival notice. The attached arrival notice shows a due date in red, and fees in the amount of \$1,072.10. The itemized fees include, among other things, a warehouse charge of \$496.42,⁸ a handling charge, and chassis fees. (Answer, at 66-67; *see also* Respondent’s RFI Responses, at 31).
19. Respondent’s employee emailed Claimant on October 28, 2025, warning that “your ISF is still not on file which can cause for the entire container to be placed on hold.” The email continued: “ETA to the port is already 11/8, we need to file ISF this week.” (Respondent’s RFI Responses, at 43-50; Answer, at 27-34).
20. On October 30, 2025, Claimant responded to Respondent’s October 28, 2025, email (*see* FOF, ¶ 19 above), stating: “Hello I paid the ISF fee if you can proceed.” The record also contains a PayCargo receipt showing payment by Claimant to Respondent on October 30, 2025, in the amount of \$275. (Answer, at 47-59; *see also* Claim, at 16).
21. Respondent’s employee emailed Claimant on October 30, 2025, along with a POA form to be filled out. (Respondent’s RFI Responses, at 39-42; Answer, at 35-40).
22. Respondent’s employee emailed Claimant on October 31, 2025, stating that the POA form “needs to be filled ASAP.” (Answer, at 41-46).
23. Respondent’s employee emailed Claimant on November 5, 2025, stating that the POA form needs to be filled out ASAP, and wrote “URGENT REMINDER!!” (Respondent’s RFI Responses, at 35-37).
24. Respondent submitted a sworn-to timeline showing that its employees called Claimant on November 6 and 7, 2025, reminding him about the POA. (Answer, Ex. 2A).

⁸ Claimant argues that the warehouse charge is functionally a demurrage charge because “Respondent’s invoice imposes an ‘AVAILABLE DATE’ (11/11/2025) and a ‘LAST FREE DATE’ (11/14/2025) before assessing a \$496.42 ‘WAREHOUSE CHARGE[.]’” (Claimant’s RFI Responses, at 8). The warehouse charge first appeared on Respondent’s invoice even before the cargo arrived in the United States. (*See* FOF, ¶¶ 18, 26). Therefore, it appears that the warehouse charge did not function as demurrage.

25. Claimant apparently sent a POA form to Respondent on November 10, 2025. (Respondent's RFI Responses, at 35-38).
26. The record includes an email from Respondent's employee to Claimant dated November 11, 2025, which attaches an arrival notice. The attached arrival notice shows a due date in red, and fees in the amount of \$1,072.10, and asked Claimant to pay \$797.10. (Answer, at 68-69).
27. Later on November 11, 2025, Claimant responded to the November 11 email (*see* FOF, ¶ 26 above) asking if the fees were payable by card. (Answer, at 70-71).
28. Also on November 11, 2025, Respondent's employee replied to Claimant's November 11 email (*see* FOF, ¶ 27 above), with a link to Pay Cargo, and stated that Pay Cargo applies fees. (Answer, at 70-71).
29. Respondent submitted a sworn-to timeline showing that the container was devanned at the STG warehouse on November 11, 2025, and that Respondent sent Claimant notice of the LFD and GO⁹ date. (Answer, Ex. 2A).
30. Respondent submitted a sworn-to timeline showing that Claimant provided the information needed to complete the ISF on November 12, 2025. (Answer, Ex. 2A).
31. The record includes an email from Respondent's employee to Claimant dated November 12, 2025, at 2:08 p.m., stating that the ISF has been filed, and that the final invoice will be sent when all charges are available. "The next step would be to file customs clearance with US customs." Respondent's employee offered customs clearance services and listed fees. The fees were \$125 for the filing fee, a \$50 minimum for a bond, and the duty as determined by U.S. Customs. (Answer, at 60-62).
32. The record includes an email of November 12, 2025, at 2:14 p.m., from Respondent's employee to Claimant that states the arrival notice/invoice is attached, but that Claimant should refrain from making payment until the final invoice is provided. Respondent's employee again offered customs clearance services. Respondent also offered "door delivery services." Finally, Respondent's employee stated: "If you decide to pick up your own cargo, the warehouse will have their warehouse/window fees due at time of cargo pick up." (Answer, at 63, 72; Claim, at 18-19).
33. Attached to the November 12 email of 2:14 p.m. (*see* FOF, ¶ 32 above) was an invoice in the amount of \$1,252.10, which had the same fees itemized as the invoices described in paragraphs 18 and 26, except it included \$180 in fees related to the ISF, bringing the total due to \$1,252.10, and requested payment of \$977.10, which reflects credit for the \$275 previously paid. (Answer, at 63-65, 73-74).

⁹ I understand "GO" to mean "General Order," meaning that the cargo was taken into the custody of the port director due to, among other reasons, failure to pay estimated duties. (*See* 19 C.F.R. § 127.1).

34. An email of November 13, 2025, from Respondent's employee urgently asks Claimant to send the packaging list and commercial invoice "so we can submit them to customs today," that the LFD was November 14, and that storage fees are \$125/day for the first five days. (Answer, at 75-76).
35. Respondent submitted a sworn-to timeline showing Claimant sent the required documents for customs clearance on November 14, 2025, that Respondent submitted the documents to the custom's broker, the entry summary was received, and the summary was sent to Claimant along with the final invoice. Respondent's employee also called Claimant to urge him to make payment the same date to avoid storage at the STG warehouse. (Answer, Ex. 2A).
36. An email on November 14, 2025, from Respondent's employee to Claimant states that the freight is at a warehouse, that November 14 was the LFD, that a final invoice is attached, and providing information about how to make a payment. (Answer, at 77-78; Complaint, at 21-22).
37. The final invoice dated November 14, 2025, shows a total of \$2,460.62, and requests payment in the amount of \$2,185.62. The freight was identified as being held by STG Logistics. In addition, the invoice indicates a LFD of November 14, 2025. An attached itemization shows the same fees as identified in paragraphs 18 and 26 above, and the ISF fees described in the invoice at paragraph 33 above. The final itemization shows \$125 in customs clearance fees, a \$50 customs bond fee, and duty of \$1,033.52. The total due on the final invoice is higher than the total due in the invoice attached to the November 12 email (*see* FOF, ¶ 33 above) by a total of \$1,208.52.¹⁰ The itemization for the invoice requests payment of \$2,185.62, which is \$275 less than \$2,460.62.¹¹ (Answer, at 81-82; Complaint, at 23-24).
38. Respondent's employee sent an email to Claimant on November 18, 2025, stating that the LFD was November 14, 2025, and that storage fees are accumulating daily. (Answer, at 82-83).
39. Respondent's employee sent an email to Claimant on November 19, 2025, stating that freight would be going GO next week if it is not cleared, and that window and storage fees are \$851.79. (Answer, at 81-83).

¹⁰ The total due as of November 12 was \$1,252.10. (*See* FOF, ¶ 33). The total due on the final invoice was \$2,460.62. (*See* FOF, ¶ 37). The difference between 2,460.62 and 1,252.10 is 1,208.52.

¹¹ Claimant asserted that Respondent charged demurrage. (Claimant's RFI Responses, at 8). There is no evidence in the record that Respondent charged demurrage. STG charged demurrage. (*See, e.g.*, FOF ¶¶ 44, 49). Respondent passed the charge through, though passing through a demurrage or detention charge could be, but is not necessarily, unreasonable. (*Luyelle LLC v. Interdel Logistics, Inc.*, Dkt. No. 2041(i), 2026 WL 657107, at *10 (ALJ Mar. 3, 2026) (notice not to review Apr. 3, 2026)).

40. Respondent's employee sent an email to Claimant on November 20, 2025, stating that the LFD was November 14, 2025, and that storage fees are accumulating daily, and attached a copy of the final invoice. (Answer, at 84-87).
41. There was a series of emails between Claimant and Respondent's employees beginning November 20, 2025, at 12:35 p.m., when Claimant emailed Respondent stating: "I will review the seller's agreement and get back to you ASAP today regarding warehouse [*sic*] free day notice. Till then I cannot take any further action." (Answer, at 95).
42. On November 20, 2025, at 4:35 p.m., Respondent's employee emailed Claimant stating that per a phone conversation, the fees included are based off the terms Claimant agreed to with the shipper at the time of booking, including standard port fees, warehouse fees, ISF fees, and customs clearance fees. (Answer, at 93-95).
43. On November 21, 2025, at 9:07 a.m., Claimant emailed Respondent stating that the fees were never included or agreed to in the contract, and that Claimant "never agreed to a warehouse late fee or punishment." Claimant asked to wire the money to an escrow agent. (Answer, at 93-95).
44. On November 21, 2025, at 12:42 p.m., Respondent's employee emailed Claimant stating that Respondent is the "destination handling agent," that its role is to keep Claimant updated on arrival/status of the cargo, "and to collect any fees based on your incoterms. The shipping terms for your shipment were negotiated between you and your seller." The email also stated that per the seller, the terms were CIF, meaning that the importer is responsible for all destination charges. Finally, the email explained that warehouses typically provide three-to-four days of free time before collecting daily storage fees. (Answer, at 92-95).
45. On November 21, 2025, at 4:28 p.m., Claimant emailed Respondent stating that Respondent basically said it would steal Claimant's goods unless Claimant pays an illegal ransom, and the purchase order says nothing about late fees. Claimant also included information in the email from Google AI about the services Respondent performs as a destination handling agent. Among other things, Claimant's email indicated that destination handling agents unload less-than-container-load shipments from a shared container at a container freight station. (Answer, at 91-95).
46. On November 21, 2025, at 7:36 p.m., Respondent's employee emailed Claimant stating that the charges listed in the invoice, including the container freight station ("CFS") fees were legal, and that Claimant arranged these terms with the seller. (Answer, at 90-95).
47. On November 21, 2025, at 5:30 p.m.,¹² Claimant emailed Respondent, referenced the bill of lading (likely the HBL), noted the relationship between the entity identified on bill of lading

¹² The November 21 email described in paragraph 47 is at 5:30 p.m., whereas the email described in paragraph 46 was at 7:36 p.m. I understand that the parties are in different time zones, which likely explains the time discrepancy.

and Respondent, asserted that Claimant has no contract with the warehouse, that there is no late fee policy in the contract, and demanded that his items be released. (Answer, at 90-95).

48. On November 24, 2025, at 8:43 a.m., Respondent's employee emailed Claimant repeating that Claimant made arrangements with the seller, and that Claimant is responsible for destination charges. The email also explains that Claimant's cargo will be transferred to the GO warehouse on November 26, 2025. The email states that the supplier has agreed to pay \$564.49, and the invoice was updated accordingly. (Answer, at 89-95).
49. On November 24, 2025, at 8:49 a.m., Respondent's employee emailed Claimant stating that the STG warehouse can provide a 20% discount on storage fees. The email also includes an itemization showing five days of demurrage at \$125/day, and five days of demurrage at \$175/day, plus \$226.79 in fees, for a total of \$1,726.79. (Answer, at 88-95).
50. On November 26, 2025, Respondent's employee emailed Claimant stating that it was the GO date and that Respondent would no longer be able to assist Claimant with customs clearance. The email states that the invoice was adjusted to reflect only the standard local port fees, and that customs clearance fees have been removed. The email also describes the fees Claimant will need to pay to have the cargo released from the GO warehouse. (Answer, at 98-100).
51. On December 2, 2025, at 2:07 p.m., Respondent's employee emailed Claimant stating that the freight was moved to the GO warehouse that morning. The email also included an invoice with GO fees, and the CFS lien. The email also asks that Claimant let Respondent know when payment has been made so Respondent can post its freight release. (Answer, at 97-100).
52. On December 2, 2025, at 6:18 p.m., Respondent's employee emailed Claimant stating that the invoice included in the earlier email (*see* FOF, ¶ 51 above), did not include a \$500 storage fee for the GO warehouse. (Answer, at 96-100).
53. On December 3, 2025, Claimant emailed Respondent stating that he will not be paying \$1 in late fees, that he filed an FMC claim against Respondent, a consumer fraud complaint against STG, asserted that Respondent gave him one day of notice via email, and required 48 hours to clear payment, which was unfair. (Answer, at 96-100).
54. The record contains an email from a U.S. Customs and Border Patrol ("CPB") agent to Claimant dated December 4, 2025, stating that the Claimant's cargo was placed in GO status. (Claimant's RFI Responses, at 12-13). Claimant responded on December 5, 2025, asking if he could get his cargo without paying \$3,300 in tariffs and customs. (Claimant's RFI Responses, at 11-13). A CBP officer replied on December 9, 2025, stating that Claimant would need to contact a customs broker to have the shipment cleared, and that the shipment was ordered to GO. (Claimant's RFI Responses, at 11-13).
55. The record contains an invoice with the handwritten note: "rec'd 1/8/26 email from Lucky Attorney." The invoice shows a total due of \$687.61, and requests payment of \$412.61. (Reply, at 5).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502, (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)).

B. Regulated Entity

Claimant alleges that Respondent, a registered OTI, violated 46 U.S.C. §§ 41102(c), 41104(a)(14), (15), and 41104(d). (*See* Claim; *see also* Reply). All of these sections require conduct by a regulated entity, either a common carrier, marine terminal operator (“MTO”), or an ocean transportation intermediary (“OTI”). In particular, section 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” (46 U.S.C. § 41102(c)). Likewise, section 41104(a) begins with the phrase: “A common carrier, either alone or in conjunction with any other person, directly or indirectly shall not. . . .” (46 U.S.C. § 41104(a)). In turn, section 41104(d) cross-references back to section 41104(a)(15). (46 U.S.C. § 41104(d)(1) (“If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.”; *see also* 46 U.S.C. § 41104(d)(2)).

The term OTI means either an NVOCC or an ocean freight forwarder. (46 U.S.C. § 40102(20)).¹³ Claimant points out that Respondent is a registered NVOCC, and asserts that as a basis for jurisdiction. (Claim, ¶¶ II, V; FOF, ¶ 2).

It is not enough, however, for a respondent to be registered with the Commission as an NVOCC for the Commission to have jurisdiction. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not an MTO as to a dispute arising out of the city’s fish dock); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”)). Claims against non-regulated entities are

¹³ Claimant does not allege that Respondent was acting as an ocean freight forwarder (“OFF”). Even if Claimant did allege Respondent was an OFF, an OFF dispatches cargo from the United States. (46 U.S.C. § 40102(19)). The cargo here was imported from China. (*See, e.g.*, FOF, ¶ 11). Therefore, Respondent was not acting as an OFF.

appropriately dismissed. (*TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (notice not to review, Jul. 3, 2025)).

An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)). A shipper is a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or an NVOCC that accepts responsibility for payment of all charges applicable under the tariff or service contract. (46 U.S.C § 40102(23)).

In *Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission’s Regulations* at 46 C.F.R. 515.13, 515.21, and 520.3, Dkt. No. 06-01, 2012 WL 11914713 (FMC, Mar. 15, 2012) (“*Worldwide Relocations*”), the Commission discussed whether several entities that were not licensed or bonded as NVOCCs had acted like NVOCCs. Among other things, the Commission noted that whether an entity acts as an NVOCC is a “fact intensive inquiry[.]” that documentary labels alone are not determinative, and that the resolution of this question requires an examination of each entity’s conduct on a particular shipment. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted)). The Commission then addressed the statutory elements of the definition of “common carrier,” noting that the first element is whether the entity holds itself out as a common carrier, the second is whether the entity assumes responsibility for transportation, and third is the use of a vessel. (*Id.*, at *6-*8). The Commission noted that the final element is usually straightforward, and often not in issue. (*Id.*, at *8). As for “holding out,” the Commission noted that facts to consider include, among other things, the entity’s advertisements, as well as whether it has a tariff. (*Id.*, at *6). In considering the “assumes responsibility” factor, the Commission looked to, among other things, the description of an NVOCC’s services in the Commission’s regulations. (*Id.*, at *8 (citing 46 C.F.R. § 515.2)). As an example, the Commission stated that if a bill of lading clearly identifies the proprietary shipper, it could result in a finding that the respondent entity did not assume responsibility for the shipment in question. (*Id.*, at *9).

The Commission’s regulations identify services that are usually provided by an NVOCC:

- (k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country

for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

(46 C.F.R. § 515.2(k)).

I address whether the facts here meet the three elements of the definition of “common carrier” found in section 40102(7). I analyze the third element first because it is the most straightforward: “uses, for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country” (46 U.S.C. § 40102(7)(A)(iii)). The MBL shows that the Claimant’s cargo was shipped by vessel from a port in China to a port in the United States. (FOF, ¶ 11). Therefore, this element is met.

The first element is whether Respondent “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation[.]” (46 U.S.C. § 40102(7)(A)(i)). I find that this element is also satisfied. There is no question Respondent is a registered NVOCC. (FOF, ¶ 2). Further, Respondent’s name has the word “logistics,” has employees that perform customs clearance, and has information about importation on its emails. (*see* FOF, ¶ 2; *see, e.g.*, FOF, ¶¶ 7, 10, 21, 31, 34; *see also Worldwide Relocations*, 2012 WL 11914713, at *8 (stating that based on an entity’s advertising, the ALJ can make assumptions about what an entity does)). Although the evidence is not overwhelming, it

appears more likely than not that Respondent holds itself out to provide transportation by water of cargo to another country for compensation.

The last element I analyze is whether Respondent “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” (46 U.S.C. § 40102(7)(A)(i)). It appears from the record that Respondent did not assume responsibility for the transportation of the cargo, but instead acted as a destination agent – which is how Respondent introduced itself to Claimant. (FOF, ¶ 7). It appears that Respondent essentially had three jobs. First, Respondent was the consignee and notify party on the MBL. (FOF, ¶ 11). Second, Respondent was to perform customs clearance, including preparing the ISF and obtaining a POA. (*See, e.g.*, FOF, ¶¶ 7, 10, 14, 21, 26, 31, 34). And third, Respondent was to facilitate moving the cargo after it arrived, including devanning the cargo, moving it to a warehouse, offering to move it within the United States, and collecting and distributing fees to the other actors involved in the move. (FOF, ¶¶ 26, 29, 32, 36, 44). Thus, while Respondent “assumed responsibility” for the cargo after it arrived in the United States, Respondent did not assume responsibility for the transportation of Claimant’s cargo from “the port or point of receipt to the port or point of destination.” The MBL shows that the Port of Loading was Yantian, China, whereas the Port of Discharge was New York. (FOF, ¶ 11). There is no evidence in the record of Respondent being responsible for, or in any way arranging, the transportation of the cargo before it arrived in the United States.

In contrast, SLL issued the HBL. Issuing an HBL “is strong evidence that an entity assumed responsibility for transporting cargo[.]” (*CFI Distrib. Inc. v. Service-by-Air, Inc.*, Dkt. No. 17-05, 3 F.M.C. 2d 83, 93, 2021 WL 3367603, at *11 (FMC Jul. 26, 2021)). Moreover, the MBL shows that SLL is the shipper in relation to the VOCC. (46 U.S.C. § 40102(17)(B)).

Claimant argues that Respondent acted as NVOCC. In particular, Claimant makes four points: 1) Respondent “enforced” the HBL, noting that the Arrival Notice/Final Invoice expressly states: “We can only release the freight to you upon receipt of the charges shown below and properly endorsed original house bill of lading,” 2) Respondent charged various fees, including chassis fees, toll fees, drayage charges and warehouse charges; 3) Respondent assumed duties for “delivering” the property, and 4) Respondent is registered as an NVOCC. (Claimant’s RFI Responses, at 5-6). I agree with Claimant that the record shows that the Arrival Notice/Final Invoice contained the cited language, Respondent charged the fees, Respondent assumed responsibility for delivering the property in the United States, and that Respondent is registered as an NVOCC. I do not agree that any of these facts make Respondent an NVOCC for purposes of the transportation at issue. The actions Claimant points to are limited to working with the cargo after it already arrived in the United States. The record lacks evidence showing that Respondent assumed responsibility for the transportation “from the port or point of receipt to the port or point of destination.” In other words, nothing shows that Respondent was responsible for moving the container from China to the United States. To the contrary, the record shows that there was another company that was a shipper in relation to the VOCC, and that entity issued the HBL. (FOF, ¶¶ 11-12). Thus, it appears that Respondent was, as it described itself, a destination agent.

The facts in this case are similar to the alleged facts in *Phillip Marciano LLC v. U.S. Cargo Servs, Inc.*, Dkt. No. 25-11, 2025 WL 3732714 (ALJ Dec. 16, 2025) (notice not to review

Jan. 16, 2026), where the ALJ granted a motion to dismiss. There, in relevant part, the ALJ concluded that the complaint did not plausibly allege that the respondent “assumed responsibility” for the delivery of the container.

Specifically, the complaint alleges that for these shipments, at most, US Cargo was a delivery agent or consignee, responsible to receive the cargo, aid in U.S. customs clearance, and coordinate and complete delivery. . . . This does not amount to a plausible allegation that US Cargo assumed responsibility for the cargo throughout its journey. And merely acting as a consignee or delivery agent, without more, is not enough to make an entity an NVOCC.

(*Phillip Marciano LLC*, 2025 WL 3732714, at *8).

For these reasons, I find that Claimant has not carried his burden of demonstrating that Respondent is a regulated entity for purposes of the transportation at issue. Accordingly, the Claim is **DENIED** and **DISMISSED**.

As this finding is dispositive, I do not discuss any other elements of any of the Shipping Act violations alleged in the Claim.

V. CONCLUSION

For the reasons discussed above, I find that Claimant has not carried its burden of demonstrating that Respondent is a regulated entity for purposes of the transportation at issue. Therefore, it is **HEREBY ORDER** that Claimant’s Claim is **DENIED** and **DISMISSED**. It is

FURTHER ORDERED that this matter is **DISCONTINUED**.

SO ORDERED

Richard C. Ambrow Jr -S

Richard Ambrow
Small Claims Officer